Credit Summary: Solaris Green Energy Ltd. - 400MW Rajasthan Solar Park

To: Credit Committee, Apex Bank

From: Project Finance & Credit Assessment Team

Date: Date

Subject: Credit Appraisal and Recommendation for Term Loan Facility to Solaris Green Energy Ltd.

Executive Summary

Solaris Green Energy Ltd. (SGEL or "the Borrower") has approached Apex Bank for a new long-term project debt facility to finance the development of a 400MW solar photovoltaic (PV) power project in Rajasthan, India ("the Project").

SGEL is an established Independent Power Producer (IPP) focused on the renewable energy sector in India. The proposed Project benefits from a 25-year Power Purchase Agreement (PPA) with a strong counterparty, Rajasthan State Electricity Board (RSEB), at a fixed tariff of ₹3.15/kWh. The PPA provides long-term revenue visibility and minimizes demand risk.

The proposed debt raise is **₹1,200 Cr** (Rupees One Thousand Two Hundred Crore). Based on our preliminary assessment, SGEL demonstrated strong operational performance in the last fiscal year, with unaudited FY23 **EBITDA of ₹450 Cr** and a healthy operational track record across its existing portfolio of 800MW. The current proposal fits within the Bank's strategic focus on infrastructure and sustainable energy financing.

The primary credit strengths include: (1) Strong PPA structure with a sovereign-backed entity; (2) Proven execution capability of the Sponsor/Borrower; and (3) Attractive Debt Service Coverage Ratios (DSCRs) projected to average above 1.45x. Key risks identified are completion risk, potential tariff re-negotiation risk (though mitigated by contract), and rising interest rate environment.

The Credit Team recommends the sanction of a Term Loan facility of up to **₹1,150 Cr** to SGEL, subject to satisfactory due diligence and finalization of legal documentation.

Project Overview

The Project involves the construction and operation of a 400MW ground-mounted solar PV power plant located near Jaisalmer, Rajasthan. Rajasthan is an ideal location due to high solar insolation levels.

Parameter	Detail
Borrower	Solaris Green Energy Ltd.
Project Name	400MW Rajasthan Solar Park
Technology	Monocrystalline PERC Solar Modules
PPA Counterparty	Rajasthan State Electricity Board (RSEB)
PPA Term	25 Years from Commercial Operation Date (COD)
Fixed Tariff	₹3.15 per kWh
Total Project Cost	**₹1,560 Cr**
Proposed Debt Raise	**₹1,150 Cr**
Equity Contribution	₹410 Cr (26.3%)
Expected COD	Date

The land acquisition is **95% complete**. The Borrower has secured major equipment supply contracts and has appointed Person as the primary EPC contractor, who has a strong track record in similar large-scale projects. The project is expected to generate approximately 750 GWh annually.

Business Model

SGEL operates under a typical Build-Own-Operate (BOO) model. The primary revenue stream is the sale of electricity to RSEB under the long-term PPA.

Revenue Generation: Revenue is secured through the capacity utilization factor (CUF) of the plant multiplied by the fixed tariff. With an estimated CUF of 21.5%, the annual

gross revenue is projected to be around **₹236 Crores** once fully operational. Historically, SGEL's operating portfolio (800MW assets) has demonstrated strong operational stability, achieving an average portfolio CUF of **20.8%** as of March 2023.

Cost Structure: The principal operating expenses include Operation & Maintenance (O&M) costs, land lease charges, insurance, and administrative overheads. O&M costs are typically fixed or escalable at a low rate (e.g., 5% annually). SGEL has a 5-year fixed-price O&M contract with an affiliate, ensuring cost predictability.

SGEL's unaudited total Revenue for FY23 was **₹1,020 Cr**, which is a 12% increase from the prior fiscal year.

Industry Overview (Indian Solar Sector)

The Indian solar power sector continues its strong growth trajectory, driven by the Government's target of 500 GW of non-fossil fuel capacity by 2030.

- **Policy Support:** Supportive policy framework, including Renewable Purchase Obligations (RPOs) and mandatory grid connectivity, provides a stable investment environment.
- **Tariff Trends:** Tariffs have stabilized following a significant decline. The fixed tariff of ₹3.15/kWh secured by SGEL is considered competitive and bankable.
- **Counterparty Risk:** While most PPAs are signed with state distribution companies (DISCOMs), which historically carry a degree of payment risk, the regulatory push for timely payment and instruments like Letter of Credit mechanisms mitigate this.
- **Technological Advancements:** Continuous improvements in module efficiency (e.g., PERC, n-type) are driving higher CUFs and better project economics.

The sector has seen significant capital infusion, both domestic and foreign. The operational capacity of solar power in India surpassed 70 GW in FY24E.

Financial Snapshot

The following table presents a snapshot of SGEL's consolidated financial performance (excluding the current project) for the last two financial years:

Consolidated Historical Financials (SGEL)

Particulars	FY22 (₹ Cr)	FY23 (₹ Mn)	FY24E (₹ Cr)
Total Revenue	915	105,000	1,250
EBITDA	405	4,400	560
Interest Expense	185	**2,100**	240
PBT	80	1,000	180
PAT	55	750	125

Footnote: The FY24E projections are as per management estimates and are subject to market risks.

The operating margin (EBITDA/Revenue) for FY23 was approximately 42.9%, demonstrating healthy operational efficiency. The Revenue for FY23 was **₹1,050 Cr**.

Leverage Profile

Particulars	March 2023 (₹ Cr)	Calculation
Total Debt	**2,950**	Includes all long-term and short-term liabilities
EBITDA (FY23)	440	
Net Worth	1,450	
Debt/EBITDA	6.7x	2950 / 440
Debt/Equity	2.03x	2950 / 1450

The current leverage ratio of **2.9x** (Total Debt/Net Worth) is acceptable, given the long-term, stable nature of the cash flows.

Debt Profile

SGEL's existing debt portfolio is primarily composed of project-level, non-recourse long-term loans from multiple financial institutions, largely secured against operational solar assets.

Existing Debt Summary (as of Date)

Type	Amount (₹ Cr)	Purpose	Remaining Term
Project Term Loan 1	900	200MW Asset	12 years
Project Term Loan 2	1,200	350MW Asset	15 years
Working Capital Facility	700	O&M Expenses	1 year (Revolving)
Total Existing Debt	**2,800**		

The proposed Apex Bank facility of **₹1,150 Cr** will be a non-recourse project finance term loan, secured solely against the Project assets. The loan is proposed to have a door-to-door tenor of 18 years, with a grace period of 2 years (pre-COD). The repayment structure is semi-annual, covering principal and interest.

Proposed Debt Structure

Feature	Detail
Facility Type	Term Loan (Project Finance)
Facility Amount	₹1,150 Cr
Proposed Interest Rate	MCLR + 2.50%
Repayment Period	16 Years (18-year tenor with 2-year moratorium)
Security	First ranking charge over all Project assets and accounts
Escrow Mechanism	Dedicated Escrow Account for Revenue Collection

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Covenant Analysis

The proposed term loan facility will include a standard set of financial and non-financial covenants. The key financial covenants are designed to ensure the Project's financial resilience against operational and financial shocks.

Key Financial Covenants

Covenant	Requirement	Actual/Projected Metric	Frequency
Minimum DSCR	1.20x	1.55x (Average)	Semi-Annual
Minimum LLCR	1.40x	1.65x	Semi-Annual
Permitted Leverage Ratio (D/E)	Max 3.50x	**3.1x**	Annual
Permitted Capital Expenditure	Maximum ₹15 Cr p.a.		Annual

The projected average DSCR of 1.55x provides a substantial buffer above the minimum threshold. Distributions to the Sponsor will be strictly restricted if the DSCR falls below 1.30x in any testing period.

Non-Financial Covenants include maintaining the PPA, timely payment of all statutory dues, restricted change of control without Lender consent, and a 'Material Adverse Change' (MAC) clause.

Risk Assessment

The Project's risks have been assessed across major categories:

Risk Category	Description	Mitigation Strategy
Completion Risk	Delays in construction or cost overruns.	Fixed-price EPC contract; 5% contingency budget in Total Project Cost; Strong EPC contractor track record.
Operational Risk	Lower-than-expected generation (low CUF) due to equipment failure or weather.	High-quality equipment (Tier-1 suppliers); Long-term O&M contract with performance guarantees; Insurance coverage.
Counterparty Risk	Payment delays or default by RSEB.	PPA is sovereign-backed; Letter of Credit (LC) mechanism (typically 1 month of billing); Escalation matrix for payment delays.
Interest Rate Risk	Increase in benchmark interest rates (MCLR).	Partial hedging considered (IRS); Standard interest rate reset clauses.
Financial Risk	Lower cash flow leading to covenant breach.	Projected **DSCR of 1.48x** provides reasonable cushion.

Sensitivity analysis confirms that the DSCR remains above the 1.20x minimum covenant threshold even under a 15% reduction in CUF or a 150 basis point increase in the interest rate.

The current leverage ratio is assessed at **3.1x** (Total Debt/Net Worth).

Recommendation

Based on the strong PPA structure, the Borrower's satisfactory operating history, and the Project's robust financial projections, the Credit Assessment Team recommends the approval of the Term Loan facility.

Recommendation Summary:

The Team recommends sanctioning the non-recourse Term Loan facility to Solaris Green Energy Ltd. for up to **₹1,200 Cr** for the financing of the 400MW Rajasthan Solar Park.

Key Conditions Precedent (CPs) to Disbursement:

1. Execution of definitive financing agreements.
2. Completion of the equity contribution of **₹41000 Mn**.
3. Receipt of all necessary statutory and regulatory approvals.
4. Final legal opinion confirming the validity of the PPA and security documents.
5. Establishment of the dedicated Escrow Account for revenue collection at Apex Bank

Recommendation Status: Approve with Conditions